once PM Modi issues an order." Uddhav Thackeray blamed the present government for its lethargy. "We made a lot of effort to bring the project to Maharashtra," he told officebearers of his Shiv Sena on September 17. "They (BJP and Sena turncoat Shinde) are playing politics over it now." A source in the Maharashtra government says the Centre has not given its nod for projects worth Rs 3 lakh crore in the state despite several presentations in the past two years.

Gujarat government sources say a subsidy provision on land purchase in its semiconductor policy made Vedanta-Foxconn choose the state. Under this, eligible projects will be given 75 per cent subsidy on purchase of the first 200 acres of land to set up manufacturing units. There is also a capital subsidy of 50 per cent if the investor builds its own desalination plant in five years. "Maharashtra was offering a power tariff subsidy of Re 1 per unit. Our policy has a provision for power tariff subsidy of Rs 2 per unit for the first 10 years after going into production. Such projects can also claim exemption from paying electricity duty," says the source. Gujarat also agreed to reimburse 100 per cent of stamp duty for the land taken on lease, sale or on land transfer, besides facilitating adequate redundancy in the power grid to ensure quality power supply.

Fadnavis now claims that Vedanta-Foxconn will be setting up an ancillary unit in Maharashtra. "Gujarat is our younger brother. It is not in Pakistan. We will get bigger projects," he said in Mumbai on September 16. Shinde is still clutching at straws. "If Vedanta-Foxconn changes their mind, they are welcome in Maharashtra," he said in Mumbai on September 18.

GAINS AND LOSSES

The proposed semiconductor plant has the potential of bringing Rs 27,000 crore to the Gujarat exchequer in the form of the State Goods and Service Tax (SGST). It is also likely to generate 200,000 direct and indirect jobs as well as additional direct investment of $21 billion (Rs 1.7 lakh crore) and indirect investment of $5-8 billion (Rs 40,000-64,000 crore). Incidentally, this was not Maharashtra's first brush with Foxconn. In 2015, the company had signed an MoU, pledging to invest Rs 40,000 crore over five years, to set up an electronics manufacturing facility. However, the project fell through due to differences over tax concessions. It later moved the plant to Tamil Nadu.

Political observers believe the assembly election in Gujarat due later this year is the reason why the Centre fast-tracked approvals to Vedanta-Foxconn to shift to Gujarat. The investment plan may give the BJP and CM Bhupendra Patel some much-needed optics there, but the party is likely to face the music in Maharashtra, especially in Mumbai and Pune, where municipal polls are due later this year. In Mumbai, the Thackeray-led Shiv Sena group and the Raj Thackeray-led Maharashtra Navnirman Sena (MNS) have already started painting the BJP as "anti-Maharashtra".

The Maharashtra Congress also blames Shinde for sitting on proposals of land transfer to industries. Proposals worth Rs 12,000 crore were cleared on June 1, but Shinde had stayed the land allotment. Facing sharp criticism, the CM finally lifted the stay on September 19, paving the way for the clearing of land allotment to 183 out of the 191 business proposals.

This is not the first time Mumbai has lost out to Gujarat. In 2015, the BJP-led Centre had shifted the International Financial Services Centre (IFSC) from Mumbai's Bandra-Kurla Complex to Gujarat International Finance Tec-City (GIFT) near Gandhinagar. Fadnavis took a lot of flak then for being a mute spectator. With history repeating itself, the Mumbai voter may find it difficult to forgive the BJP. ■

HOW THE DEAL WAS LOST

DEC. 2021 Vedanta expresses interest in setting up a semiconductor plant in Maharashtra

FEB. 2022 A team from Vedanta visits Talegaon to inspect the proposed site

JUL. 15 A high-powered panel in Maharashtra gives the nod for land transfer and tax incentives to Vedanta-Foxconn

JUL. 26 CM Eknath Shinde's letter to Vedanta says conditions will be fulfilled; announces that the plant is coming to Maharashtra; July 29 is proposed as the date for signing the MoU

SEP. 14 PM Modi assures Shinde of a bigger project for Maharashtra

SEP. 13 Vedanta-Foxconn signs MoU with Gujarat government

SEPT. 5 Maharashtra deputy CM Devendra Fadnavis calls on Vedanta chairman Anil Agarwal. The latter later meets PM Narendra Modi in connection with the proposed semiconductor plant

JUL. 28 Gujarat government announces its semiconductor policy (Maharashtra government had proposed July 29 as the date for signing MoU)



"Maharashtra government had made a huge effort in July to outbid other states. We decided on Gujarat a few months ago as they met our expectations"

– ANIL AGARWAL
Chairman, Vedanta